Executive Summary: Where We Lose Customers and What to Do

Question: Where do we lose customers, how much monthly revenue is at risk, and what retention plan should the company implement? **Data:** 500 customers, 53 of whom left (10.6%).

Key findings

- **Churn happens only in the first year.** All 53 customers who left had 11 months or less with the company. 63.9% of customers in their first year left; no customer with 12 or more months did.
- **Month-to-month new customers are the highest risk.** All 35 first-year month-to-month customers left. First-year customers on 1 or 2 year contracts also churned, at 37.5% (18 of 48).
- **Revenue at risk:** churned customers represented 6,878 in monthly charges, 12.1% of total monthly revenue (56,818), or about 82,500 over 12 months. They paid more than average (129.8 vs 111.7 per month).
- **Other factors do not explain churn:** payment method, paperless billing and senior-citizen status show no statistically clear link (all p above 0.05).

Recommendation

Launch an **early-life retention programme for new customers**: a welcome call in week 1, a check-in in month 3, and an offer to move month-to-month customers to a longer contract. Start with the Critical segment (new month-to-month customers, 35 in this data). Under our assumptions, the programme pays for itself if it keeps only **4% to 8%** of would-be leavers; extending to all first-year customers needs 6% to 12%.

Implementation plan (180 days)

When	Action	Success measure
Days 1-30	Flag new customers and contract type at sign-up; fix billing data; agree offer budget	100% of new customers flagged
Days 31-60	Pilot with half of new customers; keep a control group	Half enrolled
Days 61-120	Compare churn of enrolled customers against the control group; check cost per customer	First-year churn lower than control
Days 121-180	Scale up if the pilot pays for itself, otherwise adjust the offer and re-test	Net benefit above 0

Caution: the savings figures are scenarios built on stated assumptions (programme cost of 0.5 to 1 month of charges per customer; a saved customer is worth 12 months of charges). The data holds no cost or effect information, so the pilot is needed to measure the real result. The TotalCharges column is inconsistent with tenure and monthly charges and was not used.